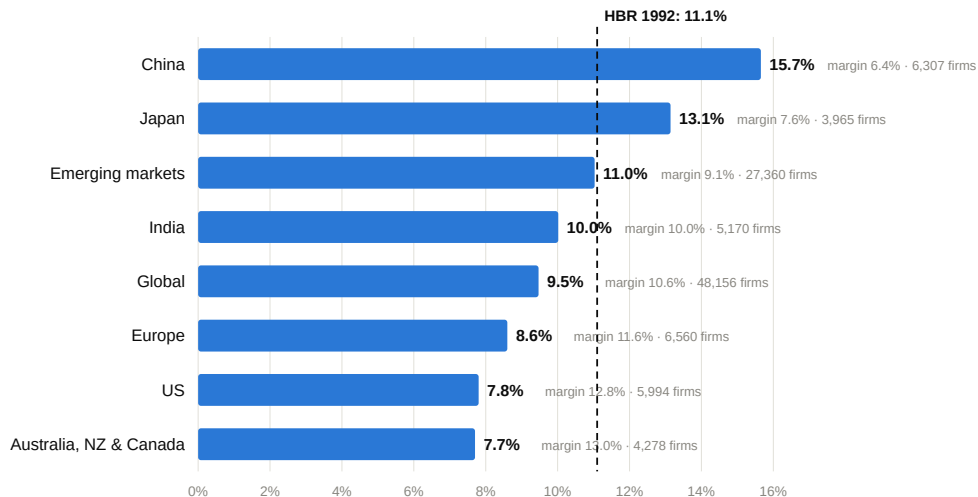


Every pricing deck says 1% of price is worth 11% of profit. **That was true in 1992.** Here is what it is worth now, by region.

The 11% rule, recomputed for every region, January 2026

Operating profit gained from a 1% price improvement, volume unchanged. It is one over the operating margin, so it is a fact about margins: revenue-weighted across every listed company Damodaran covers in each region.

Published in 1992. The US today: **7.8%**. Nearest to 11.1 now: **emerging markets**.



Above the line: thinner margins than the 1992 sample, so a price point is worth more of the profit. Below: less. Aggregates include loss-makers. The median US industry gives 8.1%; the spread by industry is on the page.

Data: Damodaran, NYU Stern, margin tables by region, Total Market row, pre-tax unadjusted operating margin, Jan 2026 - namikakmandev.github.io/price-leverage.html

Marn & Rosiello, Harvard Business Review, 1992

The famous number

A 1% improvement in price yields an **11.1%** increase in operating profit. More than volume, more than cost.

It is not a finding. It is arithmetic: if volume holds, the gain is **one over the operating margin**. 11.1 is what a 9% margin gives.

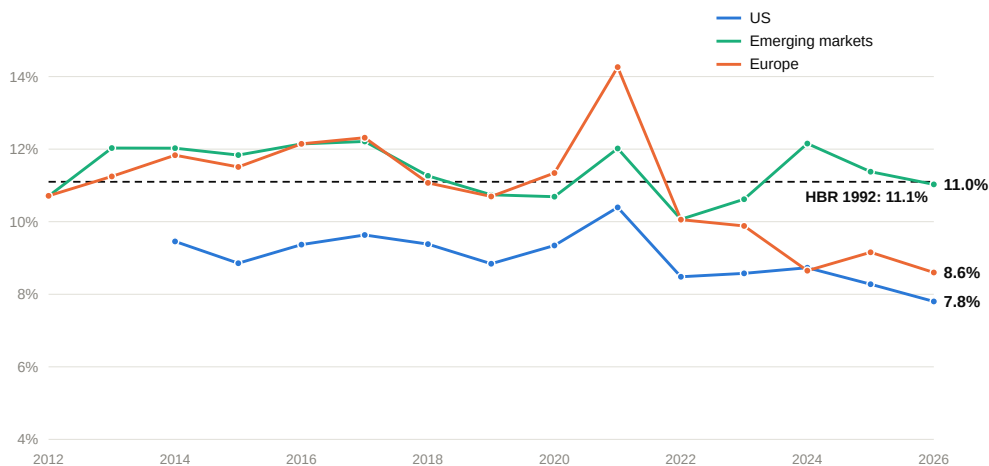
So it is a fact about the margins of one sample of companies, 34 years ago. Nothing else.

So I recomputed it, every year

The US is not on the 11% rule. Emerging markets are.

Operating profit gained from a 1% price improvement, one over the aggregate operating margin, one point per edition of Damodaran's industry tables. Each January edition reflects the previous fiscal year. Dashed: the 1992 figure.

US: below 11.1 in every edition since 2014; 2026: 7.8%. Emerging markets 2026: 11.0%.



Same identity, same source, every year: the line moves only because operating margins do. US margins widened; emerging-market margins did not. Editions are labelled by the January they were published. Earlier US editions use another layout and are kept apart: see the page.

Data: Damodaran, NYU Stern, archived industry margin tables [margin<yy>.xls](https://github.com/namikakmandev/price-leverage.html), Total Market row, pre-tax operating margin as labelled in each edition - [namikakmandev.github.io/price-leverage.html](https://github.com/namikakmandev/price-leverage.html)

The US today

7.8%

operating profit per 1% of price. Below 11.1 in every edition since 2014. Europe: 8.6%.

Emerging markets

11.0%

Within 1.1 points of the rule in every edition since 2012. Japan 13.1%, China 15.7%. **The rule moved. The decks did not.**

Two things before you quote it

- 1. It is a formula, not a constant.** Your number is one over your operating margin. Pharmaceuticals at 30% margin: 3.4%. Grocery retail at 2%: 44%. Tobacco at 44%: 2.3%.
- 2. Know which market the deck is in.** In the US and Europe, 11.1 flatters the price lever. For an emerging-market aggregate it is still a fair default when the margin is unknown.

Method, every number and both scripts:

namikakmandev.github.io/price-leverage.html

Data: Damodaran, NYU Stern, industry margin tables, eight regions, every archived edition; revenue-weighted, listed companies, volume held constant. Only the price lever is retested.